

The Claremont City Council held a meeting on Wednesday, October 26, 2016, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Lovett at 6:30 p.m.

Members of the Council present were:

Ward I Councilor Carolyn Towle
Ward II Councilor Scott Pope
At-Large Councilor Keith Raymond
Assistant Mayor Victor Bergeron
Mayor Charlene Lovett
At-Large Councilor Allen Damren
At-Large Councilor Bruce Temple
Ward III Councilor Nicholas Koloski
At-Large Councilor John Simonds

Also present were:

Guy Santagate, City Manager
Jane Taylor, City Solicitor

AGENDA CHANGES

Mayor Lovett changed the order of some agenda items. She said the Cemetery Policy will be re-referred back to the Policy Committee, so there would not be much discussion tonight.

MAYOR'S NOTES

Mayor Lovett talked about the police involved shooting. She gave a review of the actions. Claremont Police Department will conduct an internal review and Corporal Kibbe will be relieved from line duty until the review is completed.

Mayor Lovett said MRI (Municipal Resources Inc.) has submitted 12 applications to the City Manager Search Screening Committee. Tomorrow the Committee will meet with MRI, select the top 5 or 6 candidates and then schedule interviews.

Mayor Lovett said November 15, 6 p.m., will be a joint meeting of the City Council and School Board at the Sugar River Valley Regional Technical Center. One of the topics will be an initiative to prevent lead poisoning in children 0-6 years old.
The week of October 31st will be City clean up week.
Saturday, November 5th will be Free Tire Day at the transfer Station.

Mayor Lovett said she received a letter from the Sullivan County Commissioners Office regarding Sullivan County tax apportionment and update.

Mayor Lovett said she received correspondence from Roger Small, resident, expressing his displeasure at not having City Hall people on duty to answer phones at lunch time.

Mr. Pope said the Claremont School District is in the process of creating a strategic plan. A community forum will be Thursday, November 3rd, 6-7:30 p.m., at Claremont Middle School. They are looking for community input. He said the NEASC has completed its visit and the final results will be available in several months. They were impressed with our community.

CITIZEN'S FORUM

Janet Gibson, Ward 1, said she is a candidate for Registry of Deeds. She said she has worked 9 years at the Registry. In 2014 she was appointed as the Deputy Registrar. She was appointed Acting Registrar after the Registrar passed away. She said she has been endorsed by retired Registrar Sharron King. Her goal is to build on technology to control costs.

Debora Matteau, Ward 1, said she is on the City Manager Search Screening Committee (CMSSC), but that she was speaking as a private citizen. She talked about public input and that the public needs to have more input on the City Manager Search. She would like the Council to have a public forum to get stakeholders to weigh in on what they want from a new City Manager. She said this will help increase transparency. She said the Committee meets tomorrow and hopes the Council will make a decision on that tonight.

Cheryl Jones, Ward 2, said she was on the CMSSC. She said she had 29 answers in response to a question of what people wanted in a new City Manager. She said because she is no longer on the CMSSC, there are only 12 members and they need another person to be able to break a tie vote.

Meg Hurley, Ward 2 resident and CMSSC member, said she was speaking as a private citizen. She said the Valley News misreported their meeting and that there is public input. She said the public can speak at the beginning of CMSSC meetings. The Committee is looking at information received from a survey done for the Master Plan to get public input.

Marty Davis, Ward 2 resident and CMSSC member, said that public can speak at the beginning of the CMSSC meetings. Public can call or email Committee members and information can be read into the record if they choose. MRI requested public input by advertising in the e-Ticker News and the Valley News. He feels it was adequately advertised. There is still an opportunity for people to reach out to Committee members and they can speak at the beginning of tomorrow's meeting.

Bernie Folta, Ward 3, said regarding Ms. Matteau's comment, that he was at the meeting of the CMSSC and he thinks the Committee wanted to have a forum of citizens in front of the Committee. Also, at that meeting it was brought up about having a forum after the finalists had

been selected for the public to ask them questions. He said Mr. Gould said that was not the routine way he conducts City Manager searches. Mr. Folta thought it would show how candidates work in front of a group.

Steve Picano, Ward 1, said there are now 12 on the CMSSC and he asked how they would break a tie vote.

Ms. Matteau said according to Roberts Rules, if it is a tie vote, it doesn't pass.

OLD BUSINESS

System Security Update

Chris Burgess, Network Administrator, showed a PowerPoint presentation of the City of Claremont Data Security including physical, environmental and technical security. The City has two Data Centers in two separate buildings which are in secure non-public areas. There are four backup mechanisms: virtual server replication, backups to Network Attached Storage (NAS) Units; cloud based backup; and tape backups. There are two data safes for tape storage. There are multiple strategies for malware/ransomware/virus protection. There are additional security measures including a disaster recovery packet in a data safe.

Mr. Burgess said we can never guarantee that we are 100% secure, but with reasonable measures, we can lessen the threats. Any information that needs to be kept over 10 years needs to be in paper form. He said the water treatment plant is a separate network and is not under his control.

When asked about policies regarding data, Mr. Burgess said the Police Department has a policy in place. Ms. Taylor said the City has a data policy, but it needs to be updated.

Bernie Folta, Ward 3, asked when the City will get a data use policy.

Mr. Burgess said that Human Resources may have a policy. He said there are filters on the system to prevent employees from going to inappropriate sites.

Mr. Koloski made a comment that because Mr. Folta is invited to speak almost every time he raises his hand, Council should either ask everyone if they have questions or list public hearing on each agenda item.

Southwestern Community Services Presentation

John Manning, CEO, Southwestern Community Services (SCS) in Keene, spoke about the Sullivan County transportation program. In August, Sullivan County Community Alliance (SCCA) announced it was closing its transportation operations. It appeared to be a financial issue. Sullivan County Administration and Representative Ray Gagnon asked SCS to step in. Transportation is a critical need. Mr. Manning said his agency does not have the money to

subsidize the program. He said there were two major issues with the SCCA: he thinks it was not managed well and the program requires a certain amount of local support.

Keith Thibault, Chief Development Officer, SCS, said the buses have been running for two weeks. He said SCS retained all the drivers and dispatcher. They had a space available in a building they own. This program works with non-benefited part-time drivers. The program runs on a tight budget. Local communities: Charlestown, Newport and Sullivan County supported the program. Approximately 80% of the riders are from Claremont. The design for funding is 80/20, 80% federal government with 20% local match.

Mr. Manning said last year there was a loss of \$59,247 including the local support. There was no support from Claremont. The expectation is that there is local support. He said SCS will not be able to continue if they can't fill the gap. He suggested Claremont contribute \$30,000. Their intent is to make this work. They received two new buses that were already in the works when SCCA closed. They are 14 passenger buses which won't require drivers to have CDL licenses. He talked about the "silver tsunami" and that transportation is an important part of keeping younger employees in the area. This needs to get funded in order to continue operations. By January they need to have basic funding. He said their intent is to be as transparent as possible.

Mr. Koloski said we have the services in Claremont so it's no surprise that 80% of the riders are from Claremont. He said Claremont has a six-figure Welfare budget. He said he hadn't seen SCCA come forward asking for social services support.

Mr. Manning said this is not a request for social services programs; this is a request for a program that serves the whole community. It's a critically important economic tool in the community.

Mr. Koloski said he was told there are businesses in Claremont that would write checks toward this.

Mr. Manning said he thinks there are revenue sources out there which he hopes to use to help grow the system, but in the next six months they need to know there is base support for this until they can start to grow.

Mayor Lovett asked to put this on the December agenda for discussion.

At 8:24 p.m. Mayor Lovett and Mr. Damren did not return from break.

Ordinance 550 Cemetery Policy – Motion to Re-Refer to Policy Committee

Assistant Mayor Bergeron recommended Council make a motion to re-refer Ordinance 550 back to the Policy Committee and to bring it back to the Council in November.

At 8:25 p.m. Mayor Lovett and Mr. Damren returned to Council Chambers.

A motion was made by Mr. Damren and seconded by Mr. Raymond to take Ordinance 550 off the table.

Voice vote: motion carried 9-0.

A motion was made by Mr. Bergeron and seconded by Mr. Damren to re-refer Ordinance 550 to the Policy Committee for further review and updating.

Voice vote: motion carried 9-0.

Ordinance 549 Water & Sewer Rates – Second Reading – Public Hearing

Enactment of this Ordinance will provide adequate funding to the Water Enterprise Fund for funding the costs of operation, maintenance and capital improvements for the City's water system and treatment facilities and to qualify for state revolving loan fund grants for future improvements to the City's water supply infrastructure.

Victor St. Pierre, Assistant Public Works Director showed a PowerPoint presentation of the Water and Sewer Rate Study. The average usage is 2,500 cubic feet and \$333.00 every six months. There are 3,210 residential consumers.

- Option 2
 - o Increase 8.5% per year
 - o Covers operating costs, existing debt and required CIP including \$500,000 for Lead Service Replacement and \$105,000 for Whitewater Spillway
 - o Doesn't cover the water mains on Main Street and North & Main
- Option 4
 - o Freeze (0-2,000 cf) water rates at current rates
 - o Other water rates increase 17.5%
 - o Full CIP in place
- Option 5
 - o Increase water rates 14.0% per year
 - o Covers operating costs, existing debt
 - o Full CIP in place
- Comparison of Options: Water Portion
- Comparison of Options: Total Bill
- Claremont Average Daily Water Use
 - o Trend line 40% decline of water consumption since 1988
 - o [Note: Sugar River at lowest level in history, City put water restrictions in place]
- NH Lives on Water – NH Water Sustainability Commission Final Report
 - NH water infrastructure needs - estimated 10-year funding need
 - Water supply, wastewater, storm water, dams – state, dams – municipal, Total \$2,914 million
- Typical Monthly Utility and Service Costs for Households in NH

- o In NH, the cost for water and sewer services is less than all other typical utility and services costs
- Whitewater Reservoir Picture
 - o Still has 100 million gallons of water
 - o CIP - bigger pipe to deliver water
- Ridge Avenue Water Main Repair Pictures

There was discussion about the SRF loan and that there will be 20% forgiveness on that loan.

Mr. Temple talked about funding the lead service removal in the operating budget and not borrowing money to do that. He would like to have a discussion about a policy with respect to how much money should be kept in the reserve fund.

Ms. Walter said the 2017 budget takes out almost \$1.5 million from Water Enterprise fund balance for this year's water budget.

Ms. Walter said the water/sewer model shows that the City is not funding the operating expenses. Mr. Santagate said that is why the rates are too low and the rate Council is looking to pass is too low. He thinks it's a mistake to not address that issue. Ms. Walter said Mr. Santagate is saying Council should use Option 5 or 6. Option 4 will still use some of fund balance. The whole idea of the SRF loan was the loan forgiveness would pay for the interest and using that money would not drain the fund balance as much. She said the rate model says the City should use option 5 or 6. This is an enterprise fund that needs to be supported by the users. Option 4 is what is being presented in the proposed ordinance.

Mayor Lovett asked about the 2010 rate increase over the 6-year period and if the CIP projects that were budgeted were done. Ms. Walter said no. When the 2010 model was presented, Council could not see its way to do it. The sewer had a higher need, so it was increased and now the water is in need. Mayor Lovett asked if the CIP was completed. Ms. Walter said no, it didn't get funded.

Mr. St. Pierre said the City will come back to Council for SRF fund approval which is different than the rate study.

A motion was made by Mr. Damren and seconded by Ms. Towle to adopt Ordinance 549 Water & Sewer Rates.

Mr. Damren read the explanation of proposed action into the record.

Mayor Lovett opened the public hearing.

Bernie Folta, Ward 3, asked how much interest and penalties accrue when a citizen can't pay; how long before shutoff; and how many shutoffs in 2016

Paul Cioffi, Water and Sewer Departments Bookkeeper, said there is no penalty for late payment, but 12% interest is charged. Water gets shutoff for nonpayment in 60 days. There were 8-10 shutoffs in calendar year 2016. The reconnection fee is \$45 and for afterhours it is \$135.

Mr. Temple thinks it is wrong to borrow money to do operations work.

Ms. Walter said property tax payers on the general fund have no forgiveness, but with the SRF loans there is forgiveness which is more than the interest payment.

Roll call vote: motion carried 7-2 with Messrs. Temple and Koloski voting no.

Motion to Apply for Local Water Source Protection Grant – NHDES

Scott Sweet, Public Works Director, said this is to put a meter in a building at Dole Reservoir to tell how much water is coming from the Whitewater Reservoir. The Whitewater Reservoir is down 7 feet, but there is still plenty of water in there. They want to protect the area from ATVs with signage and fencing. Most work will be done at the Dole reservoir. Mr. Santagate said the pipe coming from the reservoir is too small. Mr. Sweet said it will cost between \$1 million and \$1.5 million to replace it.

A motion was made by Mr. Koloski and seconded by Mr. Bergeron to authorize the City Manager or his designees to undertake all actions and execute all documents as may be required to prepare and submit an application for the New Hampshire Department of Environmental Services (NHDES) Local Source Water Protection Grant for the purpose of improvements to the security of the City's water supply infrastructure at the Dole and Whitewater Reservoirs..

Voice vote: motion carried 9-0.

NEW BUSINESS

Welfare Assistance Inspections Discussion

Fire Chief Rick Bergeron said that living units have to pass a Fire Department inspection before the Welfare can make payments for those units.

Chief Bergeron said in addition to the Welfare inspections, his department also does multi-family housing inspections for fire code compliance. There are 270 apartment buildings in the City. That program is working reasonably well. There are 8 or 9 property owners (out of 175) that are somewhat unresponsive for the inspections. He is looking for ways to get the inspections done. He said another component is that the increased rate for missed appointments is going to start having a real effect, because past due claims will soon be addressed in small claims court.

Mr. Koloski said the unintended consequence to the Welfare inspection program is that it sometimes forces an eviction of a tenant and then the property owner rents to someone else. That was not his intent when requesting this program. If the Fire Department notes deficiencies, and owner doesn't correct them, he thinks it should be labeled as uninhabitable.

Chief Bergeron said chances are that the property owner won't let the Fire Department inspect the property.

Mr. Koloski thinks there should be plan in place for noncompliance. Noncompliance does nothing for the City's housing stock.

Chief Bergeron said he has had discussions with Attorney Taylor and he will meet with Fire Chiefs from Berlin and Franklin who are having more success.

Mayor Lovett asked if there is a life threatening issue where can the tenant go. She was told they should go to the Welfare Department.

Ms. Taylor said that being a Welfare recipient is not grounds for eviction. There are certain things a city can do, for example in Manchester they require a new certificate of occupancy every time an apartment changes tenants. The City could get an administrative warrant, but that hasn't been used very often. The third option is in Claremont Code, Chapter 6. There is a provision that grants the City specific right of entry for purposes of inspection. Also, the City has the option to revoke a Certificate of Occupancy for violation of the Code.

Suzanne Carr, Welfare Director, said regarding unintended consequences, people don't go to Welfare in time to get assistance, so an eviction may happen anyway. She said some landlords won't deal with the City because of the inspections.

Ms. Taylor said there is no requirement for any landlord to accept welfare payments.

Ms. Towle said the Missed Appointment Fee is \$100 and you don't go to court until the claim is \$500. She asked if we make the fines progressive.

Mr. Koloski would like to see what comes back after the meeting with Franklin and Berlin.

Mayor Lovett would like to see a plan (options) regarding the Fire Department Welfare assistance inspections come back to the Council on how to address landlords that don't agree to the inspections.

Mayor Lovett asked for this to come back in December.

Resolution 2017-16 Expend Airport Capital Funds for Airport Brush Clearing – Public Hearing

The New Hampshire Department of Transportation, Bureau of Aeronautics (NHDOT), on behalf of the Federal Aviation Administration (FAA), has identified a maintenance issue at the end of Runway 29 at the Claremont Municipal Airport (the "Airport") related to the height of vegetative growth on the steep slope inside the Airport fence. The City's Airport consultant has recommended the clearing of brush and adjustment of the slope inside the fence to correct the problem and make the area easier to maintain, thus eliminating a recurring issue in the future. The NHDOT has approved this proposed solution for the issue. This is to raise, appropriate and expend the sum of up to \$20,000.00 for brush clearing and adjustment of the steep slope at the end of Runway 29 at the Claremont Municipal Airport, with such funds to be taken from the Airport Capital Reserve Account (to have no impact on the tax rate).

Fire Chief Rick Bergeron said at the end of runway 29, they have a problem clearing brush. They can clean up about 90% of the area, but the rest is in a safety zone and can't be done without special permission.

A motion was made by Mr. Simonds and seconded by Ms. Towle to adopt Resolution 2017-16 Expend Airport Capital Funds for Airport Brush Clearing.

Mayor Lovett opened the public hearing. No one spoke. She closed it.

Roll call vote: motion carried 9-0.

Credit Card Status

Nancy Merrill, Planning and Development Director, said they have selected a company and received a contract to allow credit card payments on the website.

Mr. Koloski would like to have it clarified which credit cards are accepted by the City.

Ms. Taylor said the City has to make sure the cards interface with the third party vendor the City uses before the contract can be finalized.

Ms. Taylor said the processing fee is a question for the Finance Director. She hopes to have this done soon. Mayor Lovett asked Ms. Merrill to keep Council posted.

2017/18 Budget Considerations

Mayor Lovett said the health insurance rates for next year will go up 23.1% which means there is a shortfall in the current fiscal year budget. She said there is also a \$330,000 shortfall in the Downtown TIFD.

Mr. Santagate said the City budgeted for an 8% increase in health insurance. We need to take steps now that will help the budget. He would like to do a hiring freeze. He will ask departments to curb discretionary spending. He will hold off hiring nonemergency positions; they can be looked at on a case-by-case basis.

Mr. Koloski asked about economic development and the Business Development Coordinator in the Planning and Development Department. Mr. Santagate said he has frozen that. Lifeguards will not be frozen; life safety will take precedence.

Mr. Koloski is concerned that when the City is looking for economic development, that now the “real estate office” is being closed.

Mr. Bergeron pointed out that in addition to the healthcare and TIFD shortfalls, SCS is looking for \$30,000.

Mr. Temple said the health care cost increase will affect union negotiations.

Mayor Lovett said Mr. Santagate will send a memo to department heads and will report back to the Council in his City Manager Report. She said this is a heads up for the Council. In addition, there will be a dashboard in the City Manager’s Report to look at any differences in the TIFD revenue, City valuation, tax rate, building permits and where we stand with a top ten employer list.

FUTURE AGENDA ITEMS AND DIRECTIVES

Mr. Koloski asked for an update on Current Use properties. He said he hear 70% of the City’s land is in Current Use. He asked how many have changed. Ms. Taylor said that it is in this year’s Assessing budget to inspect the Current Use properties to see if there are any changes. Mr. Koloski suggested it would make sense to get the people that are needed to get that done as 70% of the City’s land is significant.

Mr. Temple asked about surveying the Moody Park and City property. Nancy Merrill, Planning and Development Director said that the two parcels have been merged, the Park has been surveyed and she is waiting for the map.

Mayor Lovett asked to put Tax Credits for Elderly on the November 9th agenda to finish the discussion and give direction to the Administration for the ordinance.

Mayor Lovett said there will not be a Council meeting on November 23rd as that is the night before Thanksgiving. However, she didn’t know what date City Manager interviews will be scheduled.

Mayor Lovett said there needs to be clarity on the rules of conduct in Council Chambers in order to maintain decorum in Council Chambers.

Mayor Lovett said her response regarding the accusation that a Councilor(s) knows who the next City Manager will be is that it is a rumor until proof is given.

Mayor Lovett said regarding public input for the City Manager Search, that anyone can call the president of MRI. MRI opened an email address for Claremont residents to use to contact them. MRI met with the public, Councilors and City Administration and then made a profile based on those discussions. At every Council meeting, citizens can give public input. The CMSSC offers public input at each meeting. The CMSSC has to meet, review the 12 submittals and pick the best 5 or 6, submit 3 names to the Council and then the Council will interview them. The Council can arrange a meet & greet of finalists before the interview. The CMSSC was created to represent a diverse population. She said she doesn't understand the idea of lack of public input into this process.

Mayor Lovett said it is not a NH law that interviews have to be done in public; it is up to Council to decide that.

There was a discussion about the number of members on the CMSSC and because they had not requested Council assistance with this, Council decided to leave the issue alone.

CONSULTATION WITH LEGAL COUNSEL

None

NON-PUBLIC SESSION PURSUANT TO RSA 91-A:3,II(d) – REAL ESTATE

A motion was made by Mr. Pope and seconded by Mr. Damren to enter into the non-public session pursuant to RSA 91-A:3,II(d) – Real Estate and to invite Mr. Santagate, Ms. Taylor, Planning and Development Director Nancy Merrill and Ms. Russell into the session.

Roll call vote: motion carried 9-0.

At 10:33 p.m. a motion was made by Mr. Simonds and seconded by Mr. Damren to exit the non-public session.

Roll call vote: motion carried 9-0.

A motion was made by Mr. Damren and seconded by Mr. Raymond to seal the minutes because it is determined that divulgence of this information pertains to confidential financial information; such minutes to remain sealed unless and until the purpose for which the information discussed has been requested to be sealed no longer applies.

Roll call vote: motion carried 9-0.

ADJOURNMENT

At 10:35 p.m., a motion was made by Mr. Temple and seconded by Mr. Damren to adjourn.

Voice vote: motion carried 9-0.

Respectfully Submitted,

Dorée M. Russell
Clerk to the Council